

July 29, 2026 04:34 AM GMT

China Power and Renewables | Asia Pacific

Shanghai Marketing Takeaways

Investor interest has diverged across subsectors. Sieyuan remains our top pick, followed by Huaming. Both trade at attractive valuations of ~20x 2027E P/E.

Share prices of popular China power equipment companies that benefit from AI or export have corrected by 50%+ from their early-2026 peak. Investors have started looking to buy the dip in names with improving fundamentals and overshot valuations, such as grid equipment exporters Sieyuan and Huaming. Hydro and renewable IPPs have also gained interest. On the flip side, we saw less interest in gas turbine given its relatively higher valuation. We heard most concerns on optical fiber, mainly due to the potential new capacity and intensified competition.

Sieyuan: The most consensus long idea. New order growth remained solid in 1H26, with continued mix improvement. Investors expect growth to reaccelerate from 3Q26 onwards, driven by lower FX headwinds and a better product mix.

Huaming: Most bearish investors had low expectations for 2Q26 earnings, expecting zero to negative growth. However, quite a few investors agree the current valuation of below 20x 2027E P/E and a 4% dividend yield look attractive. We are more optimistic than the market on the future competition dynamics ([recent note](#)).

Yingliu: We think the share price correction has been driven mainly by valuation de-rating rather than EPS revisions. The recently announced [GEV capacity expansion through 2030](#) could be a positive catalyst to Yingliu's long-term demand growth, in our view. However, at a ~30x 2027E P/E and amid weakening sentiment on the AI infrastructure segment, we think investors are hesitant to bottom-fish right now.

ZTT: Facing the most pushback. After the share price plunge, ZTT is trading at 10x 2027E P/E, which looks attractive again as it's below the valuation before its 2026 re-rating. However, investors are concerned about the potential new capacity from existing players and new entrants such as Han's Laser and Hoshine.

Sungrow: Investors are still waiting for more visibility on 1) geopolitical risks; 2) the inflection point for earnings growth; 3) satisfactory new product launches. The current valuation looks inexpensive, while the market is waiting for catalysts.

China Yangtze Power: One of the best defensive plays away from AI, with a 3%+ dividend yield. It is also a likely El Nino beneficiary, as the climate event can result in stronger water inflow and thus better electricity generation in 2027.

Longyuan: Low valuation with limited downside. The stock is trading at less than 0.6x P/B, compared to its historical trough at around 0.4x.

Dajin Heavy: The H-share price has slumped >40% since IPO, driven by weak 2Q26 operation and potential earnings downside for 2026/27 due to slow progress of EU offshore order intake. Investors are waiting for a better entry point, likely after interim results, with a focus on 1) potential new orders from 4Q26; and 2) valuation.

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CHINA UTILITIES

Asia Pacific

Industry View

Attractive

[Sieyuan Electric Co.Ltd.: Look Through the Dip \(15 Jul 2026\)](#)

[Huaming Power Equipment: Priced for Fear, Built for Growth \(27 Jul 2026\)](#)

[Anhui Yingliu Electromechanical Co Ltd: Our thoughts on recent correction \(10 Jun 2026\)](#)

[China Yangtze Power Co.: SG NDR Key Takeaways \(14 Jul 2026\)](#)

[Sungrow Power Supply: Game-changer in powering AIDC; initiate at OW \(8 Jun 2026\)](#)

[Jiangsu Zhongtian Technology Co. Ltd.: Preliminary 2Q26 slightly below expectations due to revenue recognition; strong 3Q26 outlook \(14 Jul 2026\)](#)

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Valuation Methodology and Risks

Sieyuan Electric Co.Ltd. (002028.SZ)

We use discounted cash flow analysis to capture long-term cash flows for 2027-37. Key assumptions:

- WACC of 7.5%, which reflects a CoE of 9.5% (beta of 1.2, risk-free rate of 2.1%, risk premium of 4.5%, a China premium of 2.0%), an after-tax CoD of 6.0% and a target debt-to-capital ratio of 40%.
- 1% terminal growth.

Risks to Upside

- Better-than-expected overseas order intake (especially the US and Middle East)
- Better-than-expected market share gains in State Grid's tenders
- Better-than-expected penetration in higher-end product (e.g., >330kV GIS) tenders from State Grid

Risks to Downside

- Weaker-than-expected overseas new orders
- Weaker-than-expected domestic order intake
- Weaker-than-expected market share gains in State Grid's public tenders

Huaming Power Equipment (002270.SZ)

Our PT is based on 25x one-year forward PE, which is roughly 1SD above the long-term historical average since 2019. This is below the historical peaks of 30-40x seen at early 2019, late 2021, mid-2024, and early 2026, and also below the global peer average valuation of 30x.

Risks to Upside

- Faster-than-expected global market share gains with smooth execution
- Larger-than-expected TAM for tap changers

Risks to Downside

- Slower-than-expected global grid build-out
- Rising competition that weighs on margins
- Longer-than-expected product delivery due to geopolitical risks

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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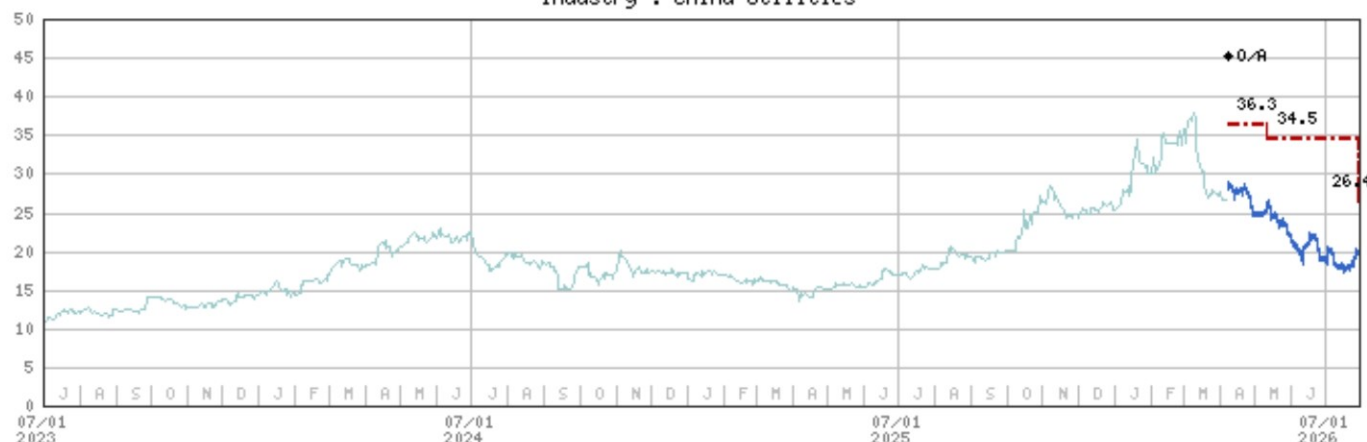
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Stock Price, Price Target and Rating History (See Rating Definitions)

Huaming Power Equipment (002270.SZ) - As of 07/29/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 4/8/26 : 0/A

Price Target History: 4/8/26 : 36.3; 5/11/26 : 34.5; 7/28/26 : 26.4

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as + Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Sieyuan Electric Co.Ltd. (002028.SZ) - As of 07/29/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 7/1/25 : 0/A

Price Target History: 7/1/25 : 102; 9/19/25 : 116.6; 10/19/25 : 128.8; 11/17/25 : 192.3; 1/16/26 : 220.5; 2/10/26 : 252.8; 3/18/26 : 283.4; 4/23/26 : 286.5; 7/16/26 : 237

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as + Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$2.88
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb4.02

China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$5.71
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb16.20
China Resources Power (0836.HK)	E (03/21/2026)	HK\$19.19
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb29.07
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb40.06
Goldwind (002202.SZ)	U (01/20/2026)	Rmb17.99
Goldwind (2208.HK)	E (08/17/2022)	HK\$9.56
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb13.89
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb18.91
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$5.97
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb7.16
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.20
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb29.96
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb12.68
NARI Technology (600406.SS)	O (11/01/2015)	Rmb23.56
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb39.20
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.65
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$3.18
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.85
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb161.28
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb46.75
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb112.08
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb11.19
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb21.78
Hannah Yang, CFA		
Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.13
Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb43.00
China Gas Holdings (0384.HK)	E (07/10/2026)	HK\$5.97
China Resources Gas (1193.HK)	E (07/10/2026)	HK\$16.30
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb19.56
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb15.17

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.